

Special Status of "Underlying Bonds." In the railroad field an especial investment character is generally supposed to attach to what are known as "underlying bonds." These represent issues of relatively small size secured by a lien on especially important parts of the obligor system, and often followed by a series of "blanket mortgages." The underlying bond usually enjoys a first lien, but it may be a second- or even a third-mortgage issue, provided the senior issues are also of comparatively small magnitude.

Example: New York and Erie Railroad Third Mortgage Extended 4¹/₂s, due 1938, are junior to two small prior liens covering an important part of the Erie Railroad's main line. They are followed by four successive blanket mortgages on the system, and they have regularly enjoyed the favored status of an underlying bond.

Bonds of this description have been thought to be entirely safe, regardless of what happens to the system as a whole. They have almost always come through reorganization unscathed; and even during a receivership interest payments are usually continued as a matter of course, largely because the sum involved is proportionately so small. They are not exempt, however, from fairly sharp declines in market value if insolvency overtakes the system.

Examples: In the case of New York and Erie Third 4¹/₂s (which had been voluntarily extended on maturity in 1923 and again in 1933), principal and interest were defaulted in March 1938, following the bankruptcy of the Erie two months earlier. The bid price declined to as low as 61. However, the various reorganization plans filed to the end of 1939 all provided for the payment of principal and interest in full on this issue.

Chicago and Eastern Illinois Consolidated 6s, due 1934, were finally paid off in full in 1940, with further interest at 4%—but not until their price had fallen as low as 32 in 1933.

Pacific Railway of Missouri First 4s and Second 5s and Missouri Pacific Railway Third 4s, all extended from their original maturities to 1938, are underlying bonds of the Missouri Pacific system. They continued to receive interest and were left undisturbed in the receivership of 1915. Following the second bankruptcy in 1933, they continued to receive interest until their maturity date. At that time payment of principal was defaulted, but interest payments were continued through 1939. The various reorganization plans virtually provided for these bonds in full, by